



# NEW MEXICO ASSOCIATION OF REALTORS® — 2025 INFORMATION SHEET – SOLAR SYSTEM PANEL



*This form is NOT a disclosure and does NOT provide property-specific information. The general information contained herein is not an exhaustive analysis of the subject matter. Brokers are not experts in the subject matter. If you have additional questions or concerns, you are encouraged to conduct further research and to contact a subject-matter expert.*

## 1. HOW SOLAR ENERGY WORKS.

Solar Panels (also called distributed energy generation systems, (DEGS)) are made of photovoltaic (PV) cells which convert sunlight into Direct Current (DC) electricity throughout the day. An inverter changes the DC electricity to Alternating Current (AC) electricity which travels into the home through the electrical panel or “breaker box.” During the day, excess AC electricity not used in the home is sent back to the utility grid, resulting in a credit to the homeowner (this is net metering). Net metering allows resident to get credit for extra electricity produced by their solar panel at peak retail prices during the day (the electric meter spins backwards giving energy back to the grid) and draws from the grid during the night, at lower off-peak rates (the electric meter spins forward returning electricity from the grid to the home).

## 2. SOLAR RIGHT LAWS

**A. NM’s Solar Rights Act (SRA) – 1997.** The owner of real property upon which a DEGS can claim a solar right, which allows the owner to create a solar easement for the purpose of protecting and maintaining proper access to sunlight. The solar right prevents neighboring property owners from constructing new buildings or planting new trees which would block their access to the sun.

The SRA establishes procedures for filing a solar right through the County Clerk’s Office, which includes the requirement that the property owner seeking the solar right give advanced notice to the adjacent property owners, who are entitled to contest the claim. Once awarded, the solar right attaches to the property (easement appurtenant) and remains in effect even if the property is sold. Further, the solar right can be sold separately from the property; this allows a neighboring property owner to purchase the solar right and then cancel it. An owner of a solar right may enforce the right in court.

**B. Solar Recordation Act - 1983.** The Solar Rights Act and the Solar Recordation Act includes provisions that allow local governments to create their own ordinances or zoning rules pertaining to the protection of solar rights.

**C. Solar Collector Definitions and Restrictions Bill (SCDRB) - 2007.** The SCDRB strengthened solar access rights in New Mexico by limiting the ability of a county or municipality to restrict the placement of solar collectors unless the location is within a historic district. It also voided all covenants and restrictions (from July 1, 1978 forward) that effectively prohibit the installation of solar collectors.

**D. Distributed Generation Disclosure Act.** After January, 2018, any agreement governing the financing, sale or lease of a DEGS or the sale of power to a power purchaser, governing the financing, sale or lease of a DEGS, or the sale of power to a power purchaser, shall include a written statement with font no smaller than 10 points and no more than four pages, unless a font larger than ten points is used, separate from the agreement and separately signed by the buyer or lessee, that includes provides detailed provisions regarding the DEGS. See Exhibit “A” attached.

**E. Local Ordinances.** In addition to state laws regarding Solar Panels, local jurisdictions may have ordinances that impact the installations and rights associated with a DEGS.

This form and all New Mexico Association of REALTORS® (NMAR) forms are for the sole use of NMAR members and those New Mexico Real Estate Licensees to whom NMAR has granted prior written authorization. Distribution of NMAR forms to non-NMAR members or unauthorized Real Estate Licensees is strictly prohibited. NMAR makes no warranty of the legal effectiveness or validity of this form and disclaims any liability for damages resulting from its use. By use of this form, the parties agree to the limitations set forth in this paragraph. The parties hereby release NMAR, the Real Estate Brokers, their Agents and employees from any liability arising out of the use of this form. You should consult your attorney with regards to the effectiveness, validity or consequences of any use of this form. The use of this form is not intended to identify the user as a REALTOR®. REALTOR® is a registered collective membership mark which may be used only by Real Estate Licensees who are members of the National Association of REALTORS® and who subscribe to the Association’s strict Code of Ethics.

NMAR FORM 5130 (2023 JAN) ©2022 NEW MEXICO ASSOCIATION OF REALTORS®

BUYER(S) OR SELLER(S) \_\_\_\_\_

INITIALS SIGNIFY THAT THE BUYER(S) AND/OR SELLER(S) HAS RECEIVED AND REVIEWED THIS  
INFORMATION SHEET.



# NEW MEXICO ASSOCIATION OF REALTORS® — 2025 INFORMATION SHEET – SOLAR SYSTEM PANEL



## 3. **BUYING OR LEASING SOLAR PANELS.** *NOTE: Consumers should explore all of the solar financing options available to determine the “best” choice for their individual needs.*

DEGS may be bought or leased. The most significant practical distinction between buying and leasing of an DEGS is in the ownership. When purchasing a DEGS, the buyer owns the system, either outright (if purchasing with cash) or after repaying the solar loan. When leasing the DEGS or entering into a power purchase agreement (PPA), a third party owns the DEGS. This distinction impacts the cost, maintenance, terms, financial offsets, and savings/returns on investment of the DEGS. Not all companies offer solar leases and/or PPAs.

**A. Solar Leases.** Solar Leases help eliminate most or all upfront costs, maintenance and operations costs associated with operating a DEGS. The developer installs and owns the DEGS, and is responsible for the maintenance, monitoring and insurance for the DEGS. A standard lease term is 15-25 years and typically comes with a minimum performance or production guarantee, compensating the borrower if the DEGS fails to meet the energy output required for in the lease for that period. State or federal tax credits associated with owning the solar energy system will go to the 3rd party owner of the system, the homeowner does NOT reap the benefits of tax credits. Scheduled monthly lease payments must be included in the debt-to-income (DTI) ratio if the buyer is getting a loan and the appraisal should NOT give value to the solar panels. The title work will reflect a Uniform Commercial Code (“UCC”) financing statement or Notice of Independent Solar Energy and the UCC financing statement termination or Release of Notice of Independent Solar Energy would need to be obtained at closing as evidence of its removal.

**B. Power Purchase Agreements (PPAs).** PPAs are solar energy agreements where the homeowner purchases the energy generated by the DEGS. The homeowner only pays for the energy that was produced. PPA payments are excluded from the DTI ratio since the payments are solely based on the energy produced. As with solar leases, a third-party buy, installs and maintains the DEGS and is the owner of the DEGS and therefore; the beneficiary of any state or federal tax credits. As with a solar lease, the maintenance, monitoring and insurance is the responsibility of the third-party owner. In the case of a loan, the appraisal will not give value to the solar panels. Like a Solar Lease, the title work will reflect a UCC financing statement or Notice of Independent Solar Energy, which would need to be released in the same manner at closing.

**C. Solar Loans.** A homeowner borrows money from a lender or solar developer for the installation of the DEGS. The homeowner owns the system and is therefore the beneficiary of all state and federal tax credit as well as responsible for the maintenance, monitoring operation of the system. The loan payment is included in the DTI ratio. The appraisal should give value to the solar panels. The system is not covered under an insurance policy or warranty, it is the homeowner’s responsibility to seek out insurance.

**D. Property Assessed Clean Energy (PACE) Program.** A PACE Program allows a property owner to finance renewable energy improvements to that owner’s property through an additional assessment added to the owner’s tax bill. (usually for a period of 15-20 years). The PACE assessment is attached to the property rather than to the homeowner, thus, making it easier for homeowners to purchase a DEGS, even if they may want to sell their home before the system is fully paid off. Two New Mexico laws address PACE Loans: The Renewable Energy Financing District (“REFD”) Act and the Solar Energy Improvement Assessment (“SEIA”) Act, both passed in 2009. Both Acts address the priority of a PACE Loan.

Under the REFD Act, full special assessment constitutes a lien on the property, which has priority over ALL OTHER liens except liens for ad valorem property taxes. Under the SEIA ACT, PACE Liens have priority co-equal with other property tax liens and no lien can exceed the annual amount of Solar Energy Improvement Special Assessment imposed on the property. FHA announced in December 2017 that it would no longer insure mortgages on homes that carry a PACE lien.

## 4. **CONSIDERATIONS WHEN SELLING/BUYING A HOME WITH A DEGS:**

If the DEGS is owned out right, it may increase the value of the property and result in a faster sales time. If the seller purchased the DEGS with a loan, the loan will have to be paid off before selling the property. If the DEGS is leased, the issue becomes more complicated. As discussed, DEGS leases can last between 10 and 20 years, and it can be



## NEW MEXICO ASSOCIATION OF REALTORS® — 2025 INFORMATION SHEET – SOLAR SYSTEM PANEL



expensive to “buy out” the DEGS lease or roll the lease into the house purchase. Further, if the DEGS lease raises the buyer’s DTI ratio, the buyer may not be able to qualify for a mortgage. Sellers should prepare the following resources for prospective buyers, as Buyers should investigate these issues BEFORE purchasing a home with a DEGS:

- A. **If the DEGS is leased, what are the steps for transferring a lease?** Find out the details of the contract, including monthly fees, length of the contract, transferability of the lease/PPA. **Whether a buyer will qualify for a lease assumption depends on a number of factors and buyers should make this determination early in the process. See Solar Panel System Lease/Loan/PPA Assumption (NMAR Form 5125).**
- B. **Which company installed the DEGS and what are the system’s warranty details?** Consult the DEGS paperwork to determine if the warranty will cover a new buyer and if it does, to determine the length of time for such coverage.
- C. **How can the DEGS be removed?** There is a possibility a buyer will request the solar panels to be removed, either because they do not want them or because they do not qualify for the lease/PPA. Speak with the company that installed the DEGS to see how much it would cost to remove or relocate the DEGS. **NOTE: Often, a DEGS may NOT be removed unless the DEGS owner/seller has another property upon which to immediately install the DEGS.**
- D. **Who manufactured the DEGS?** Determine the array’s manufacturers. If the DEGS was produced by a U.S. corporation, DEGS owners are covered by the Magnuson–Moss Warranty Act, which protects U.S. consumers from misleading warranty terms.
- E. **What’s the size of the DEGS?** The size of the solar array will determine the energy bill savings. Review past energy bills or find out the number of kilowatts the system produces.
- F. **Does the utility company offer net metering?** Depending on the utility company, some DEGS owners are eligible for net metering. This can help you determine how much a prospective buyer may save on their monthly electricity

### 5. CONVENTIONAL LOAN/APPRAISAL CONSIDERATIONS. *NOTE: Other loan programs may have different and/or additional loan requirements.*

#### A. DEGS Owned by Seller

If the DEGS is owned, a copy of the DEGS receipt/sales agreement must be provided to the underwriter. The appraiser must identify the property energy-efficient features, comment on any effect to value or marketability and make appropriate adjustments to reflect the market reaction to the energy-efficient features. The appraisal must indicate that the property has access to traditional electric utilities (there must be a backup in the event the solar panel is defective or does not produce the amount of energy intended). For a loan or if the system is owned, the appraisal **CAN** give value to the solar panels.

#### B. DEGS Leased or Owned by a Third-Party.

A copy of the Power Purchase Agreement (PPA) will have to be provided and the following shall apply:

1. The solar panels may not be included in the appraised value of the property;
2. The property must maintain access to an alternate source of electric power that meets community standards; and
3. The monthly lease payment must be included in the DTI Ratio calculation unless the lease is structured to: provide delivery of the specific amount of energy at a fixed payment during a given period and has a production guarantee that compensates the borrower on the prorated basis in the event the solar panel fail to meet the energy output required for in the lease for the period. **NOTE:** Payments under the PPA where the payment is calculated solely based on the energy produced may be excluded from the DTI ratio.

### 6. Power Purchase Agreement **MUST** include/state:

- A. Any damage that occurs as a result of installation, malfunction, Any damage that occurs as a result of installation, malfunction, manufacturing defect, or the removal of the solar panels is the responsibility of the owner of the equipment and the owner must be obligated to repair the damage and return the improvements to their original or prior condition (for example, sound and watertight conditions that are architecturally consistent with the home).



NEW MEXICO ASSOCIATION OF REALTORS® — 2025  
INFORMATION SHEET – SOLAR SYSTEM PANEL



- B. The owner of the solar panels agrees not to be named loss payee (or named insured) on the property owner's property insurance policy covering the residential structure on which the panels are attached. As an alternative to this requirement, the lender may verify that the owner of the solar panels is not a named loss payee (or named insured) on the property owner's property insurance policy, and
- C. In the event of foreclosure, the lender or assignee has the discretion to:
1. Terminate the lease/agreement and require the third-party owner to remove the equipment
  2. Become, without payment of any transfer or similar fee, the beneficiary of the borrower's lease/agreement with the third party, or
  3. Enter into a new lease/agreement with the third party, or
  4. Enter into a new lease/agreement with the third party, under terms no less favorable than the prior owner
- D. An exception to coverage on the title insurance policy for recorded instruments relating to the solar panels must comply with B7-2-05, Title Exceptions and Impediments, which addresses the UCC lien discussed above.
7. **FANNIE MAE:** Fannie Mae also requires a letter on the Lease Holder, or third party owner's letterhead, dated, and signed stating the following: *"In the event of foreclosure, the lender or assignee has the discretion to: terminate the lease/agreement and require the third-party owner to remove the equipment; become, without payment of any transfer or similar fee, the beneficiary of the borrower's lease/agreement with the third party or enter into a new lease/agreement with the third party, under terms no less favorable that the prior owner."*